

Utility



Economics posits an underlying logic to human behaviour: whether it be a purchase of food or a choice about savings, all decisions are aimed at maximizing 'utility'. If I prefer strawberries to bananas I am said to gain more utility from strawberries than bananas, perhaps quantified as a utility of 'four' compared to 'two'. Maximization of utility is the sole aim of rational economic man, and while economics is often thought of as the study of money, money is simply needed to buy things, and the utility generated is the driver of behaviour.

Utility is subjective: strawberries add to my well-being but reduce that of someone who dislikes them. Early theories saw utility as a scale like money: someone with a utility of four was twice as happy as someone with a utility of two. But because it is impossible to directly observe, economists now think of it as a ranking – we can say someone gains more utility from

strawberries than bananas because we see his choice, but cannot really measure how much absolute utility they provide.